

YOU'RE NOT INVESTING IT ALL FOR YOURSELF ANYMORE

A change to your allocation may be appropriate if you conclude that you will not be the only one who will benefit from your money. In this case, you are investing part of your portfolio for yourself and another part for those who will receive a portion of your wealth. Your overall asset allocation should then reflect the needs of all parties concerned.

Assume you have \$2 million in retirement savings. Your needs may be covered by \$1 million, and this amount is allocated to 30 percent stock and 70 percent bonds. The second \$1 million will be passed on to your heirs. Since heirs tend to be younger, they can be more aggressive. So that portion receives a 70 percent stock and 30 percent bond allocation. Put together, an appropriate allocation for your portfolio is 50 percent stock and 50 percent bonds.

When you are no longer investing only for yourself, does your age still matter? Perhaps you should be considering the age of your beneficiaries, or perhaps a combination of ages based on your age and the age of those who will inherit the money. This goes against conventional thinking which says that you should be decreasing risk in the later stages of life. However, it makes sense to increase the risk to accommodate the needs of your beneficiaries if you are not going to need the money, because your heirs may well need the money.

"Your age in bonds" is a simple asset allocation method that suggests whatever a person's age is, that is the percentage allocation he or she should have in bonds. When more than one person is going to benefit from your assets, a combination of ages should be used. This concept is discussed in detail in [Chapter 12](#) and in an article titled "What's Your Asset Allocation Age?" The article was coauthored by Brigham Young University professor Craig L. Israelsen and me and appeared in *Financial Planning Magazine*, November 2009.

YOU'RE IN OVER YOUR HEAD

I start this section by talking about the problems that can arise with using historic market data to determine an asset allocation. Market return data are typically presented using annual, quarterly, and monthly returns. These